

Data Interpretation & Logic Branching (If-Then Table)

Logic Branch	IF (Condition / Trigger)	THEN (Action / Next Step)	Additional Context / Notes
Data Normalization	IF the client wants to compare year-over-year historical data...	THEN apply the "Common Size" method (divide all P&L items by Total Sales and Balance Sheet items by Total Assets).	This acts like adjusting for a starting position in a drag race, removing confirmation bias by tracking true 'Start' and 'Finish' performance.
Data Anomalies	IF a specific ratio (e.g., Debtors Days on Hand) shows a massive, sudden spike...	THEN check the period for "one-off situations" like a large order that was invoiced but not yet paid.	Remove the one-off figure from the calculation for comparison purposes to ensure it isn't falsely interpreted as a systemic collection issue.
Seasonal Adjustments	IF the business operates with high seasonality (peak vs. low periods)...	THEN only compare quarters at the identical stage of the seasonal cycle.	Direct comparisons of peak season ratios to low season ratios reflect the business cycle, not necessarily management action or inaction.
External Benchmarking	IF the client requests industry benchmark comparisons to see how they stack up...	THEN verify the calculation methodology of the benchmark data and confirm the sample size/geography is relevant.	Do not compare external ratios to internal ratios unless they are calculated identically (comparing apples with apples).

Internal Modeling	IF the client lacks a defined strategic plan or operational objectives...	THEN pause external data comparisons and build a predictive/scenario (revenue) model first.	It is a "rookie mistake" to use external benchmark data before internal assumptions and operational objectives are captured and quantified.
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